

HOW WE DID IT

The methodology behind the BT-PwC India's Best CEOs ranking

By **Rahul Oberoi**

PHOTO BY **MILIND SHELTE**

► **THE 12TH EDITION** of the annual ranking of India's Best CEOs is here. Like last year, *BT* teamed up with consulting firm PwC to devise a methodology for the study, which takes into account both quantitative performance as well as qualitative aspects. We started with the quantitative exercise to shortlist the Top 3 performers in each segment. But before that, a series of checks and filters were applied to our universe of the BT500 ranking of India's most valuable companies. Only those with revenues of over ₹1,000 crore were considered, and data was sourced from ACE Equity. The study period was FY21, FY22 and FY23. Firms whose latest audited financial year results were not available were dropped, as were those that posted a net loss in any of these fiscals. Firms that were listed during the study period were not considered, and banks and NBFCs, too, were not considered.

A total of 301 companies made the cut, of which CEOs (or executive heads) who had been on the job for the full study period were considered; for PSUs, the period was a minimum of one fiscal. To arrive at the rankings, growth in total income, profit before interest and tax (PBIT) and total shareholder returns (TSR) were considered, with the results being considered on a consolidated priority basis. Firms were assigned a score on the average of year-on-year absolute change and three-year CAGR in total income and PBIT, along with the geometric CAGR of TSR—calculated using net price change plus dividends.

Firms were then split into four groups—Super Large (total income of ₹1 lakh crore-plus); Large (₹50,000-1 lakh crore); Mid-sized (₹10,000-50,000 crore); Emerging (₹1,000-10,000 crore)—and 12 sectors.

This year, we introduced seven new categories—PSU, Resilient CEO, Unicorn, Clean Energy, Travel, Best Deal, and Glocal CEO. PSUs and Clean Energy firms were shortlisted based on total income, PBIT and TSR; for Resilient CEO, firms that had four successive quarters of losses followed by six consecutive quarters



(From left) Amit Tandon; Ramnath Krishnan; R.M. Vishakha; Uday Kotak; Sourav Majumdar, Editor, *Business Today*; Vivek Prasad, Partner and Leader-Markets, PwC India; Rajat Dhawan; and Siddharth Zarabi, Managing Editor, BTTV

of profits made the cut. And start-ups that had a funding round in FY23 or later were considered for Unicorn, with the firms being scored on time taken to become a unicorn and the latest valuations. Travel firms were shortlisted from the listed and unlisted universe based on total income and PBIT. For Best Deal, the top M&A deals since January 2022 were picked. For Glocal CEO, only those firms that had seen income from overseas rising for the past three years were considered; and among them only those that got 10-50% of business from abroad in the past three years were picked.

Then, the names of the Top 3 CEOs in each group were placed before a jury led by Uday Kotak, Founder and Director, Kotak Mahindra Bank. The other members were Rajat Dhawan, Senior Managing Partner, McKinsey & Company in India; Ramnath Krishnan, MD, ICRA; R.M. Vishakha, MD & CEO, IndiaFirst Life Insurance; and Amit Tandon, Founder & MD, Institutional Investor Advisory Services.

Besides awards for Lifetime Achievement and Business Icon of the Year, the jury also suggested adding a special award for Impact Leader of the Year. **BT**

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